FRVO

FRVO N/A

Buy **$27.37** ▲ **0.07%**

12M Price Target **$38.00**

52-Week Range $23.10 – $42.65

Market Cap $8.06B

FRVO: NVIDIA Deal Signals AI-Geothermal Story Is Real

WHAT HAPPENED

- Big one: FRVO announced an expanded partnership with NVIDIA and Pacific Northwest National Lab on an "EGS-Twin" — basically a digital twin (a live software simulation of a real geothermal reservoir) that uses NVIDIA's AI to optimize drilling and heat extraction. This matters because it converts FRVO from "cool clean energy startup" to "NVIDIA-blessed AI infrastructure play" — that's a totally different multiple.
- Price action is weird though — stock cratered from $27.88 to $23.57 on 7/7-7/8 (heavy volume, ~8M shares one day), then snapped back to $27.35. That looks like a shakeout — someone big dumped, and buyers came in aggressively on the news. Volume today is thin (481K), so this rally hasn't been confirmed yet.

WHY IT MATTERS

The NVIDIA tie-up is the real story here, and I don't think the market has fully digested what it means. Hyperscalers (Microsoft, Google, Meta) are running out of power for AI data centers — solar/wind can't do 24/7, nuclear takes a decade, and natural gas is politically radioactive. Enhanced geothermal is suddenly the only credible answer, and FRVO already has a signed deal with Google. The NVIDIA angle tells you the AI ecosystem is now actively de-risking geothermal as a solution — that's a structural tailwind, not a one-day headline. Watch for follow-on announcements: if a second hyperscaler signs a PPA (power purchase agreement — a long-term contract to buy electricity), this stock re-rates hard.

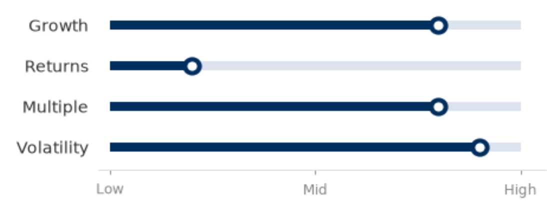
POLICY & POLITICAL WATCH

The critical policy fight right now is the fate of the Inflation Reduction Act (IRA) clean energy tax credits under the current administration — geothermal has held up better than solar/wind in the rollback discussions because it's bipartisan (red states like Utah, Nevada, and Texas have the best resources and love the jobs). The 45Y and 48E credits are worth roughly 30-50% of project costs for FRVO, so any grandfathering language matters enormously. Also watch the FERC permitting reforms and the "Energy Permitting Reform Act" discussions — geothermal projects have been held back by 5-7 year federal land approval timelines, and any streamlining is a direct multi-hundred-million-dollar tailwind for FRVO specifically.

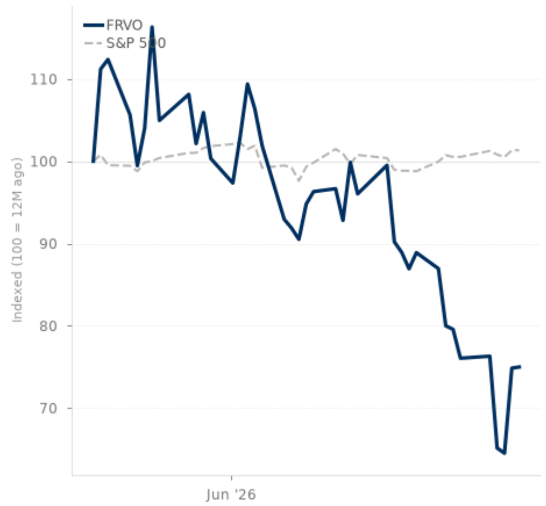
IS IT EXPENSIVE?

Key Data	
Price (USD)	**$27.37**
12M Price Target	**$38.00**
Upside / (Downside)	**+38.8%**
Market Cap	**$8.06B**
FY2026E Revenue	**$145M**
FY2027E Revenue	**$285M**
FY2026E EPS	**($1.85)**
FY2027E EPS	**($1.20)**
Fwd P/E	**N/M**

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	**$33.00**	$28.00	**$23.00**
6 Months	**$42.00**	$32.00	**$22.00**
1 Year	**$55.00**	$38.00	**$20.00**
2 Years	**$75.00**	$48.00	**$18.00**
5 Years	**$130.00**	$70.00	**$15.00**
10 Years	**$250.00**	$120.00	**$10.00**

WHAT'S MOVING IN THE SECTOR

HEATING UP: Materials (+1.3%) and Utilities (+0.55%) are catching a bid — that's often the "boring infrastructure" trade waking up, which historically correlates with rising expectations for federal energy spending. Comm Services is also strong, keeping the AI infrastructure narrative alive.

COOLING OFF: Megacap tech had a wobble last week per the Barchart headline — if that continues, high-beta AI-adjacent names like FRVO get whipsawed even without company-specific news.

ROTATION WATCH: Money is quietly rotating from pure-play software AI into "picks and shovels" AI infrastructure — power, cooling, transmission, and data centers. That's exactly where FRVO sits.

RELATED PLAY: If the AI-power thesis keeps working, look at Vistra (VST), Constellation (CEG), and Talen (TLN) on the nuclear side, and GE Vernova (GEV) for grid equipment — same tailwind, different risk profile.

WHO'S WINNING IN THIS SPACE?

- VST (Vistra): Existing baseload nuclear + gas, printing cash from data center PPAs — the profitable version of the same trade
- CEG (Constellation): Three Mile Island restart for Microsoft was the template deal every FRVO bull is hoping to see replicated

FRVO CONTEXT: FRVO is lagging the profitable "AI power" peers because it's still pre-revenue at scale — but that's also why the upside is bigger. It's the venture-stage version of a story that's already worked for VST and CEG. If you believe the thesis, FRVO gives you the biggest torque; if you want safety, own the incumbents.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

Position Size: 2-3% of portfolio

Entry Points: $24-26 on pullbacks

Time Horizon: 12-24 months

Thesis Invalidation: Utah project delays past Q1 2027, or IRA geothermal credits get cut

Hedging: Pair with a short in a pure-play solar/wind name that lacks AI baseload story